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EDITORIAL

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THE EIGHT REASONS WHY THE FED SHOULD RAISE RATES

The FOMC meeting on September 15–16 is expected to mark a turning point with the Fed's first rate hike since May 2023. While there may have been economic reasons to hold off and maintain the *status quo* until now (some negative signals on the employment front and some encouraging ones on the inflation front), the conditions for a necessary recalibration now appear to be in place.

Between the start of the year and September 11, out of a sample of nearly 90 central banks worldwide, 25 lowered their policy rates (an average cumulative decrease of 85 basis points), 25 raised them (an average cumulative increase of 75 basis points), and 36 left them unchanged. The U.S. Federal Reserve is part of this *status quo* group, while the ECB is among the central banks that have raised their rates (twice). Which is the odd one, the Fed or the ECB? At first glance, the Fed's *status quo* seems harder to explain than the ECB's rate hike: U.S. growth and inflation are significantly higher than Eurozone metrics. Why would this situation warrant a rate hike in the latter case but not (yet) in the former? In short, because the Fed has a dual mandate and, until recently, its focus has been more on the maximum employment component than on price stability.

Will the Fed continue to diverge from its peers this week, given that the ECB implemented another rate hike on September 10th and that further tightening by the BoJ (September 17th–18th) is also widely anticipated? And while a *status quo* from the BoE (which will also meet on September 17th) is expected, the vote is likely to be close (6-3 according to our forecasts, possibly 6-4) and the tone should be hawkish. In our new base case scenario, we believe the Fed will join the ranks of the hikers this week: it would no longer wait until December 2026 to begin the (short) cycle of (three) rate hikes (25 bp each) that we have been anticipating for several months. However, the outcome of the September 15–16 FOMC meeting remains somewhat uncertain: we believe the conditions are in place for a monetary policy adjustment. But will the Fed share the same view?

WHAT HAS HELD THE FED BACK FROM RAISING RATES SO FAR? SOME SIGNS OF WEAKNESS IN THE LABOUR MARKET AND THE K-SHAPED NATURE OF GROWTH

This latter is running at a relatively high pace (an average of 2.2% year-over-year since Q1 2025, double the Eurozone growth rate) but rests on narrow foundations that are largely dependent on the AI boom. It is this sector that is driving a large portion of non-residential investment (with, conversely, equally significant imports). And it is the wealth effects stemming from the sharp rise in stock indices—driven by tech stocks—that largely underpin consumption among the wealthiest households, while consumption among lower-income households is struggling, constrained, and affected by the high cost of living.

Strong on the surface but more fragile beneath: this characteristic of U.S. growth has likely contributed, thus far, to tipping the scales in favor of the monetary status quo. The aim was to avoid the risk of stalling the AI engine and exacerbating the financial difficulties of lower-income households. An idea has also circulated: that this strong growth, driven by productivity gains (supposedly resulting from the deployment of AI¹), might be disinflationary rather than inflationary.

1 U.S. productivity gains are significant but attributing them to the AI boom is premature: see our [Chart of the Week from May 27, 2026, United States: Labour productivity growth set to continue](#).

This theory has not, for the time being, been fully validated by the data: on the contrary, the AI boom appears to be rather inflationary in the short term, which should lead the Fed to reconsider its *status quo*.

The labour market, like economic growth, has both a positive side and a more worrisome one. The first is characterized by a low unemployment rate, downwardly oriented over the past few months, a trend which is expected to continue. The second stems from the volatility and relative weakness of job gains through July, the downward pressures on labour supply, and the uncomfortable balance of a situation combining low firing and low hiring. The Fed has been more sensitive to these vulnerabilities, in line with its dual mandate.

HIGH INFLATION — THOUGH TRENDING DOWNWARD ACCORDING TO CERTAIN ALTERNATIVE MEASURES — AND ANCHORED INFLATION EXPECTATIONS HAVE ALSO HELPED THE FED ADOPT A WAIT-AND-SEE APPROACH.

U.S. inflation is high and has been well above the 2% target for now six years, according to the most widely used metrics; while alternative measures are closer to the target (see Chart 1). The trend, drivers, and composition of inflation also matter. As for its trend, data from June and July showed a slight downward trend, an encouraging sign further supported by the stability (no increase) seen in August (3.4% year-on-year for the headline CPI, with core inflation even edging down slightly from 2.5% to 2.4% y/y).

US inflation metrics: In progress, but still persistently above the 2% target

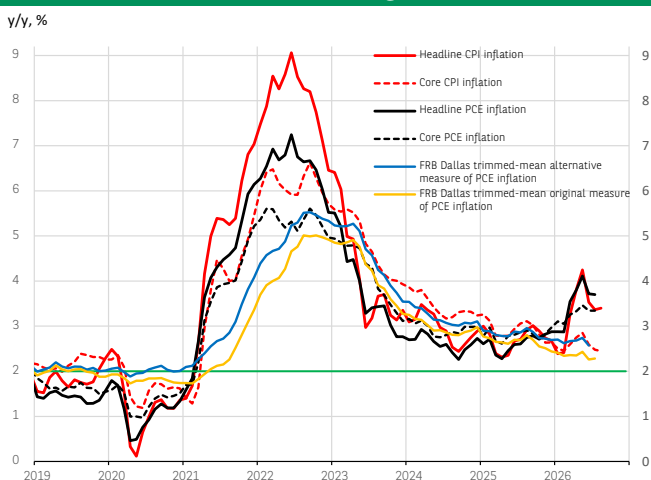


CHART 1

SOURCE: BLS, BEA, FRB DALLAS, MACROBOND, BNP PARIBAS



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US: Disinflation looks underway according to the trend in unit labour costs

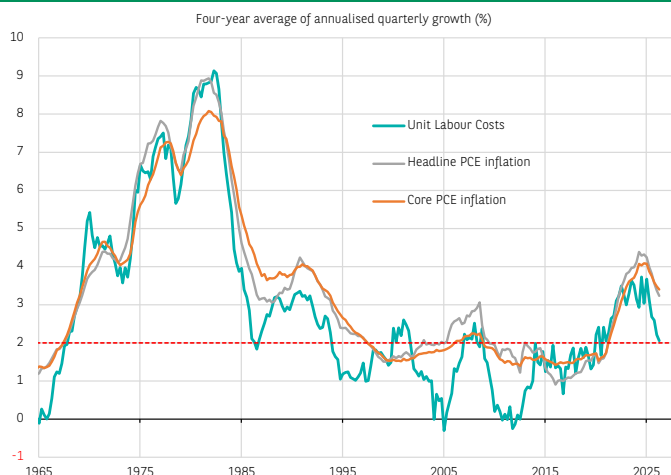


CHART 2

SOURCE: BLS, BEA, MACROBOND, BNP PARIBAS

On the other hand, if we compare inflation with the trend in unit labor costs—a key driver, as Richard Clarida (former Fed vice chair)² points out—it clearly appears to be trending downward, with further disinflation on the horizon (see Chart 2).

Finally, in terms of composition, current inflationary pressures stem largely from the energy supply shock caused by the conflict in Iran. Such a development does not require an immediate response from the central bank³, as long as inflation expectations remain anchored (which is currently the case) and provided that the inflation spike remains transitory, does not become widespread, and does not trigger second-round effects (which cannot be taken entirely for granted over the next few months, given persistent upward pressure on energy prices combined with resilient U.S. growth).

WHY IS THE MONETARY STATUS QUO NO LONGER TENABLE? THERE ARE AT LEAST SEVEN REASONS

A combination of factors justifies the Fed raising its policy rates, starting in September. From our perspective, it should have already done so, given the economic and inflation data.

First, the current environment is completely different and significantly more favorable than the one that prevailed at the time of the three insurance rate cuts in late 2025. Undoing this easing alone is justified today.

Second, the real GDP growth rate is well above its potential pace.

Our 3rd, 4th and 5th points are the following: unemployment is trending downward, inflation is well above target, and there is a risk that inflation expectations could become unanchored.

Sixth, the balance of risks between the two components of the Fed's mandate has shifted: the easing of employment concerns brings the upward risks to inflation to the forefront.

Seventh, U.S. monetary policy is likely too accommodative — to a degree difficult to assess precisely, given the inability to accurately estimate the neutral rate (which, according to our estimates, falls within a range of 3.25% to 4.25% in nominal terms).

But it is clear that current high productivity gains are pushing it higher. A recalibration of monetary policy therefore appears necessary to bring the Fed Funds target (currently 3.50–3.75%) at least toward the upper end of our estimate of the neutral rate, or even into restrictive territory.

EIGHTH, THE FED MUST BACK UP ITS WORDS WITH ACTION

Regarding the outcome of the September 15–16 FOMC meeting, Kevin Warsh has not shown willingness to act upon the latest data. He wants a Fed that is less data-dependent and more guided by underlying trends. It is understandable and this shift could happen in the future, following the conclusions of the task forces. However, aside from the fact that Kevin Warsh is not the sole decision-maker, the latest data for August points towards a rate hike. This is clear in light of the strong rebound in nonfarm payroll employment. It is also clear regarding inflation, as the monthly change (seasonally adjusted) in the core CPI (+0.29%) exceeds the trigger threshold we had identified (a “big” 0.2%). In fact, the very persistence of high inflation⁴, combined with an economic environment (both domestic and international) that remains inflationary, argues for a rise in the Fed Funds target.

It would also be a matter of Kevin Warsh walking the talk to reinforce the credibility of his remarks at Jackson Hole regarding the renewed firmness of his commitment to ensure price stability. And it would also be a matter of not adding to the tension and nervousness already present in the bond markets, regardless of their origin. If the Fed takes the markets' signal into account — as Kevin Warsh seems inclined to do when he considers that the rise in long-term rates is doing part of the central bank's job and when he highlights the reassuring anchoring of their inflation expectations — then it must raise its policy rates without further delay. Not only do economic conditions require it, but it is also a matter of risk management.

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² See this Financial Times article: [The Key Inflation Signal for Investors \(August 19, 2026\)](#).

³ See this BIS paper for a recent overview of the debate: [Energy Shocks and Inflation: Challenges for Monetary Policy, August 5, 2026](#).

⁴ 65 months of core PCE inflation overshooting the 2% target.



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ADVANCED ECONOMIES

The past week saw unusually large increases in sovereign bond yields across developed markets (see our [Markets Overview of 14 September 2026](#)).

EUROZONE

A “no-brainer” ECB hike. As expected, the ECB increased its main policy rate by 25 bps to 2.5%. It revised up both its [growth and inflation forecasts](#), with the latter expected to be more protracted than previously thought. GDP excluding Ireland is expected to grow by 1.2% in 2026 and 2027, and by 1.4% in 2028. Inflation would peak at 3.6% in Q4 2026, then fall to 2.5% in Q2 2027 and would hover close to 2.0% thereafter. Although no forward guidance was provided, the market took a hawkish read, pricing ½ a rate hike in October and more than 3 additional hikes in total by mid-2027. This seems overdone to us. We expect one more hike in December, but it depends largely on the evolution of energy prices. Meanwhile, Q2 GDP growth was revised up to 0.6% q/q (+0.2pp) due to a sharp revision in Ireland data. That said, growth was broad-based with GDP growth excluding Ireland up 0.4% q/q, overwhelmingly driven by net exports. Employment climbed again (0.1% m/m) as solid gains in Spain and Portugal offset another (moderate) decline in Germany.

- European Union

Procurement simplification & innovation boost: The European Commission unveiled its proposals for a new Procurement Regulation focused on simplification and the European Innovation Act. Both initiatives are designed to strengthen the single market and Europe’s competitiveness.

- France

Falling behind. INSEE revised its 2026 growth outlook down to 0.4% even as the other large Eurozone economies are picking up steam. The government also downgraded its forecast, to 0.5% (same as ours). These include a 0.1% downgrade on account of summer’s heatwaves. For Q3, INSEE forecasts 0.1% q/q GDP growth, 0.1 pp lower than our forecast and the Banque de France’s nowcast. Manufacturing output declined in July for the third consecutive month, by 0.8% m/m and 1.2% 3m/3m. This appears driven primarily by supply constraints in sectors experiencing strong demand (capital goods, including aeronautics and electronics). More positively, solid momentum in goods exports continues (+4% y/y in July, +5.2% YtD), mostly to Europe. Loan demand is falling as interest rates rise: new housing loans plunged 17% m/m in July, as interest rates reached their highest since January 2025 (3.30% on average, +3 bp m/m). Yearly growth for bank and market financing to non-financial corporates (NFCs) fell in July to 3.5% (-4 bp m/m) and 4.4% (-4 bp m/m) respectively. On the budget front, the government is considering reducing the exceptional surtax on large corporates and generating EUR 6bn of savings from pensions.

- Germany

Solid intra-EU export growth. German exports grew by 4.0% over Jan-July compared to the same period in 2025 (despite a -0.8% m/m wobble in July, missing expectations of a 0.1% rise). Gains are particularly robust to the EU and euro area (+6.5%). This offsets persistent losses to the US (-1.5%) and China (-12.7%).

UNITED KINGDOM

Strengthening growth backdrop as Chancellor unveils strategy. Real gross value-added rose 0.4% in the three months to July, led by a rise in professional, scientific and technical activities (+2.1%, with scientific R&D up 7.0%) and information and communication (+2.5%). The AI cycle is gaining traction, with positive spillover effects on the manufacturing sector. The latter rebounded 0.5% in the three months to July, with output for computer, electronic and optical products sector being the biggest contributor (+3.9%). The RICS housing survey was positive too, with the sales expectations index improving for the fifth month running in August and to its highest since January. The jobs market is showing tentative signs of improvement. Staff placements increased for the first time since September 2022, although vacancies declined again, pointing to continued weakness in labour demand, according to the S&P and KPMG UK Jobs Report.

John Healey, the UK’s new Chancellor of the Exchequer, stressed fiscal discipline as his “first priority” in his first major speech. While declining to rule out tax rises, he pledged to tackle rising costs for businesses and double the number of UK unicorn firms.

UNITED STATES

Inflation heats up, housing cools further. August Core CPI came in at 0.29% m/m (stable), a pace inconsistent with the Fed’s 2% objective and above consensus expectations (0.2% m/m). Housing and non-housing core services both posted their largest monthly gains since April. Energy compounded price pressures, with headline CPI up 0.4% m/m and stable at 3.4% y/y. Producer price inflation jumped to 5.4% y/y (up 0.5pp), while core PPI edged up to 4.7% (up 0.3pp), both above expectations. Diesel passed the \$6/gallon (national average), for the first time ever. These price developments raised the market-implied probability of a rate hike next week to 90% vs. 60% at the start of the week. Meanwhile, existing home sales contracted for a third month in a row in August (-2.0% m/m), pushing the annual growth rate into negative territory (-1.7% y/y). 30-year mortgage rate hit 6.85% last week, the highest since June 2025.

JAPAN

Bullish data and Yen resurgence. Wage growth hit a three-decade high in July. Nominal earnings climbed to 4.7% y/y in July (up 0.7pp), the fastest pace since 1994. Real wages improved for a third straight month to 2.4% y/y (up 0.2pp). Q2 GDP growth was revised upward to 0.4% q/q advance (up 0.1 pp from initial est.). Machine tool orders jumped to 64.7% y/y in August (up 14.3pp) – a pick-up most pronounced in foreign orders. With the BOJ multiplying hawkish signals, the USD/JPY exchange rate is down to 154, its strongest since February, up almost 4% on the week and over 6% since the joint US/Japan intervention in August.



[Find out more in our scenario and forecasts](#)

EMERGING ECONOMIES

EUROPE, AFRICA & MIDDLE EAST

- Central Europe

Inflation contained so far. August inflation data pointed to a marginal uptick (Hungary: 1.3% y/y from 1.2% in July; Czech Republic: 1.9% y/y from 1.7% in July). Poland's inflation, at 3.4% y/y, was near the upper end of the central bank's target range. Meanwhile, Romania's inflation fell markedly (6.2% y/y from 8.2% y/y), as expected, from base effects. Going forward, inflationary pressures are tilted to the upside due to the recent rise in fuel prices at the pump. Meanwhile, the recent decline in food prices should reverse in the coming months. As a consequence, most Central banks will likely remain on hold though Hungary still has a wider window to continue easing.

- Qatar

Mounting fiscal pressure. The budget deficit more than doubled to USD 5.8 bn in Q2 (26 times the deficit in Q2 2025). Total revenues dropped 57% y/y. Expenditures also fell sharply (-22% y/y).

- Saudi Arabia

A sharp economic contraction. Real GDP contracted by 4.7% in Q2, the steepest decline since the pandemic, driven by the sharp fall in hydrocarbon GDP (-24.4% y/y). Non-oil activity growth slowed to 0.9% y/y from 2.5% y/y in Q1; it remained resilient thanks to robust domestic demand, notably public investment.

- South Africa

Poor growth performance in Q2. The economy contracted by 0.2% q/q, ending six consecutive quarters of expansion. Year on year real growth slowed to 0.9% from 1.9% in Q1, reflecting difficulties in the manufacturing and mining sectors, and weak investment.

- Türkiye

Near term set back to growth and inflation progress but rosier medium-term outlook. The central bank held its one-week repo rate at 37% on September 10, citing upside risks to inflation. Annual headline CPI was 31.5% in August. The ministry of Finance strongly revised up its inflation forecast for this year (28.4% at year-end) and next. It also downgraded its growth forecast to 3.3%, from 3.8% earlier. However, it presented a relatively optimistic medium term soft-landing scenario: inflation falls to single digits, growth accelerates towards 5%, unemployment declines, and the current account deficit narrows simultaneously. This will require a significant improvement in productivity and potential growth to avoid renewed demand-side inflationary pressures.

ASIA

China

Low inflation, strong exports, and structural patches. In August, CPI inflation rose to +0.8% y/y from +0.5% in July, due to higher energy prices, but it remained below its Q2 average (+1.1% y/y). Food prices continued to fall (-1.4% y/y) and core inflation remained low (+1% y/y vs. +0.9% in July and +1.1% in Q2) given the absence of demand-side inflationary pressure. Foreign trade continued to grow strongly in August, driven by both volume and prices; export value was up 25% y/y vs. 23.9% in July and import value was up 28.2% y/y vs. 27.6% in July. The trade surplus reached a gigantic USD 806 bn in the first eight months

of 2026, up from USD 782 bn in the same period in 2025. The authorities adopted a new set of measures to address industrial over-capacity, notably in the batteries sector. The government also announced a large recapitalisation plan for 8 major financial institutions (RMB 360 bn): 3 state-owned banks (Agricultural Bank of China, ICBC and Export-Import Bank of China) as well as insurance companies will benefit from the scheme, which aims to stimulate credit supply and support the financial soundness of these institutions

LATIN AMERICA

- Latam

Inflation accelerated in August except in Argentina, notably in **Chile** (4.1% y/y from 3.5% in July), driven mainly by food and transportation costs. In **Colombia**, the acceleration (6.2% y/y from 6.0% in July), was particularly due to rising food prices. In **Mexico**, headline inflation picked up to 3.3% (from 3.1% y/y in July), though core disinflation continued (3.9% y/y, slowing steadily since January 2026). In **Argentina**, monthly inflation slowed to 1.7% in August, its lowest monthly level in 14 months. But core inflation was stable at 1.8% m/m. Year on year inflation rates slowed down marginally to 33.5% and 31.9% for headline and core CPI respectively. Despite sluggish growth, inflation is likely to remain above target across Latin America for some time. This could prompt Mexico's central bank to raise interest rates, while in Colombia and Brazil, monetary easing remains possible, contingent on the degree of fiscal tightening. Meanwhile, the Chilean central bank held its policy rate at 4.5%, reflecting a cautious stance amid sticky core inflation and external risks.

- Mexico

Revenue-based fiscal consolidation in 2027. Growth forecasts in the Budget proposal are more conservative than in previous years (1.5%–2.5% for 2027), while the deficit is set to narrow slightly to -3.9% of GDP (from -4.1% in 2026), but debt will rise to 55% of GDP. Consolidation relies on ambitious revenue growth, driven by an expanded corporate tax base, stricter fiscal controls, and measures to combat evasion, offsetting a 15% drop in oil revenues. Spending is nearly flat in real terms.

COMMODITIES

Energy prices continue to rise on the back of renewed tensions in both straits of Hormuz and Bab el Mandeb. Saudi oil exports through the E-W pipeline have stopped, at least temporarily. They are equivalent to roughly 4% of global oil supply. Crude oil prices breached 100 \$/b (above 107\$/b on Monday morning) and Brent Dec 2026 futures reached 100 \$/b for the first time this year. Two new sources of pressure: weekly US SPR stock release has been the lowest since end-March (1.2mb for the week ending 4 September) and Chinese crude oil imports expected to increase in September for the third consecutive month after the decade-low level recorded in June. **Unsurprisingly, refined product prices reached new highs.** Diesel cracks gained around 10% in Europe (92\$/b) and 6% in the US (110\$/b) over the week. The US diesel fuel price reached 6\$/gallon for the first time ever. **The IEA has sharply lowered its oil demand forecast for 2026.** Demand is expected to decline by 2.5 mb/d (compared to the previous estimate of 1.6 mb/d), before growing by 2.6 mb/d in 2027.

TTF gas prices rose above 83€/MWh on Monday morning, the highest since end-2022. EU gas pre-winter inventories reached 67.6% of full capacity this week (official target is 80% at end-October).



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MARKETS OVERVIEW

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Bond Markets

	In %	In bps			
	11/09/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	3.17	+25.2	+40.1	+108.6	+120.1
Bund 5Y	3.27	+22.8	+39.8	+80.4	+106.0
Bund 10Y	3.48	+18.3	+35.2	+61.7	+86.7
OAT 10Y	4.35	+29.6	+49.6	+85.5	+97.5
BTP 10Y	4.36	+24.6	+43.1	+85.8	+88.8
BONO 10Y	3.92	+18.6	+35.9	+67.2	+74.4
Treasuries 2Y	4.64	+31.3	+41.9	+115.9	+105.7
Treasuries 5Y	4.79	+29.8	+39.5	+106.2	+121.0
Treasuries 10Y	4.97	-1.2	+27.7	+80.3	+3.2
Gilt 2Y	4.74	+30.2	+39.5	+98.0	+79.3
Treasuries 5Y	4.91	+28.0	+39.0	+105.8	+85.8
Gilt 10Y	5.35	-3.9	+30.4	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	11/09/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.16	-0.0	+0.6	-1.1	-1.0
GBP/USD	1.35	-0.2	+0.2	+0.6	-0.2
USD/JPY	153.47	-3.9	-3.6	-2.1	+4.3
DXY	99.12	-0.3	-0.7	+0.8	-1.1
EUR/GBP	0.86	+0.2	+0.5	-1.7	-0.8
EUR/CHF	0.95	+0.9	+1.2	+1.8	+1.4
EUR/JPY	178.25	-3.9	-3.0	-3.2	+3.3
Oil, Brent (\$/bbl)	104.73	+17.1	+17.7	+72.1	+57.7
Gold (\$/ounce)	4363	-1.7	-0.7	+0.9	+20.1

Equity Indices

	Level	Change, %			
	11/09/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4937	-0.6	-1.2	+11.4	+16.0
North America					
S&P500	7657	-0.4	-0.9	+11.9	+16.2
Dow Jones	52573	-1.2	-2.3	+9.4	+14.0
Nasdaq composite	26333	-0.1	-0.4	+13.3	+19.5
Europe					
CAC 40	8180	-1.9	-6.1	+0.4	+4.6
DAX 30	25569	-2.6	-3.1	+4.4	+7.9
EuroStoxx50	6325	-1.5	-3.5	+9.2	+17.4
FTSE100	10650	-1.6	-1.8	+7.2	+14.6
Asia					
MSCI, loc.	1932	-2.9	-2.5	+14.4	+20.8
Nikkei 225	64011	-3.5	-4.4	+27.2	+44.3
Emerging					
MSCI Emerging (\$)	1722	+0.1	+3.4	+22.5	+31.4
China	72	-3.8	-4.9	-12.5	-15.5
India	926	-3.1	-4.0	-12.5	-10.1
Brazil	1968	+6.5	+11.5	+19.5	+28.3

Performance by sector

Eurostoxx600

Year 2026 to 11-9, €

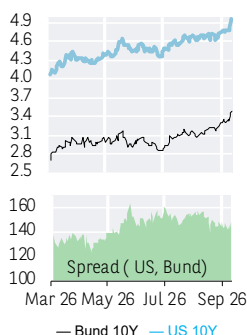
+36.6%	Oil & Gas
+26.7%	Commodities
+22.4%	Banks
+18.9%	Technology
+13.4%	Telecoms
+13.1%	Chemical
+8.6%	Industry
+7.9%	Eurostoxx600
+7.8%	Utilities
+6.8%	Financial services
+5.6%	Insurance
-1.3%	Food industry
-2.9%	Travel & leisure
-4.1%	Retail
-4.7%	Real Estate
-5.6%	Media
-5.8%	Construction
-6.0%	Health
-15.3%	Consumption Goods

S&P500

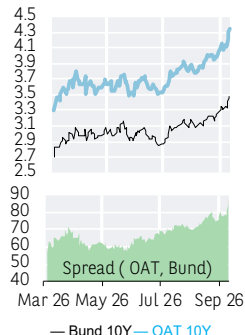
Year 2026 to 11-9, \$

+44.5%	Energy
+36.1%	Semiconductors
+35.8%	Tech. Hardware & Equip.
+13.8%	Pharmaceuticals
+13.7%	Capital Goods
+12.8%	Food, Beverage & Tobacco
+11.9%	S&P500
+11.6%	Materials
+10.4%	Bank
+5.3%	Telecoms
+5.0%	Consumer Discretionary
+2.9%	Insurance
+2.3%	Retail
+1.6%	Media
-1.4%	Utilities
-5.0%	Healthcare
-6.0%	Commercial & Pro. Services
-6.5%	Consumer Services
-16.7%	Automobiles
-28.5%	Real Estate

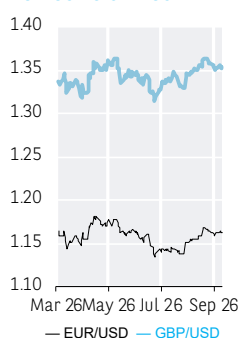
Bund 10Y & US Treas. 10Y



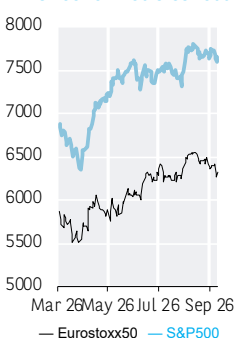
Bund 10Y & OAT 10Y



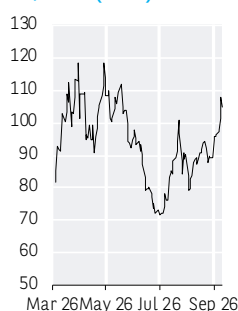
EUR/USD & GBP/USD



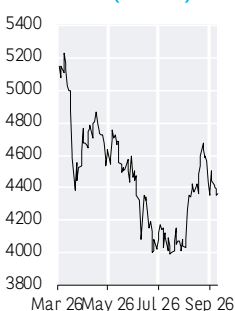
EUROSTOXX 50 & S&P500



Oil, Brent (\$/bbl)



Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

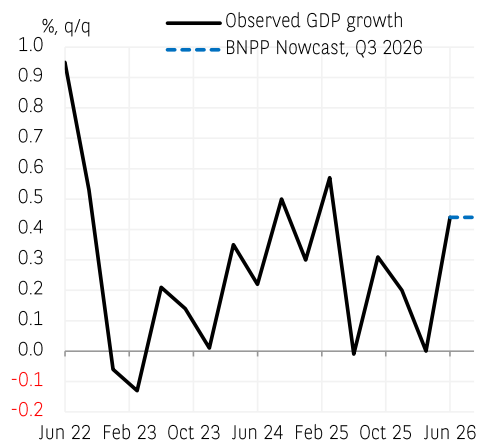

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The scenario, forecasts and nowcasts of the Economic Research – 14 September 2026

NOWCASTS OF THE ECONOMIC RESEARCH

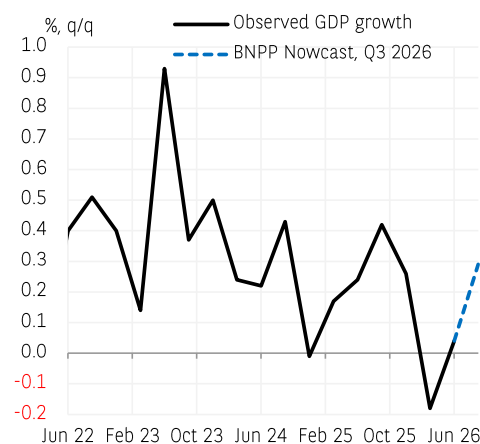
Eurozone



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to resilient growth in Q3 (+0.4% q/q) driven by the improvement in the PMI surveys.

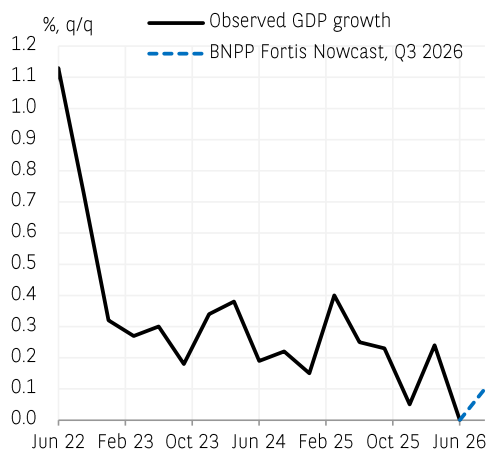
France



Source: Refinitiv, BNP Paribas

Our nowcast for French GDP growth suggests a recovery in Q3 2026, at +0.3% q/q, albeit the impact of the heat wave on agricultural production is a downside risk.

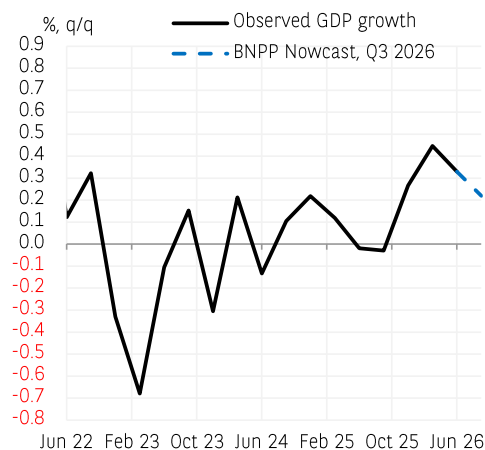
Belgium



Source: Refinitiv, BNP Paribas Fortis

Our nowcast for Belgium GDP growth suggests a mere growth performance in Q3 (0.1% q/q, after 0% in Q2). The business climate is low, as inflation pressures bind.

Germany



Source: Refinitiv, BNP Paribas

Our Germany nowcast indicates that growth should slow slightly in Q3 to +0.2% (after +0.4% in Q1 and +0.3% in Q2). It is expected to remain supported by exports. Industrial production remains strong at the start of the quarter but could be affected by the weather conditions recorded in August.

Read the Nowcast methodology
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth				Inflation			
	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.2	2.3	2.9	2.7	3.4	2.3
Japan	-0.2	1.2	1.0	1.2	2.7	3.1	2.0	2.5
United Kingdom	1.0	1.3	1.2	1.3	2.5	3.4	3.2	3.2
Euro Area	0.9	1.3	1.1	1.5	2.4	2.1	3.0	2.8
Germany	-0.5	0.3	1.1	1.3	2.5	2.3	2.7	2.6
France	1.1	0.9	0.5	1.0	2.3	0.9	2.4	2.3
Italy	0.6	0.7	0.9	0.8	1.1	1.6	2.9	2.1
Spain	3.5	2.8	2.6	2.2	2.8	2.7	4.0	3.9
China	5.0	5.0	4.6	4.5	0.2	0.0	1.0	1.2
India*	7.2	7.8	6.7	6.9	4.6	2.1	5.0	4.6
Brazil	3.4	2.3	1.9	1.3	4.4	5.0	4.5	4.6

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 14/09/2026

* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026		2027			
		Q3	Q4	Q1	Q2	Q3	Q4
US	Fed Funds (upper limit)	4.00	4.25	4.50	4.50	4.50	4.50
	T-Note 10y	-	4.95	4.95	4.90	4.85	4.80
Eurozone	deposit rate	2.50	2.75	2.75	2.75	2.75	2.75
	Bund 10y	-	3.50	3.40	3.30	3.25	3.20
	OAT 10y	-	4.43	4.40	4.25	4.18	4.10
	BTP 10y	-	4.38	4.33	4.18	4.08	3.98
UK	BONO 10y	-	3.98	3.90	3.74	3.65	3.55
	Base rate	3.75	4.00	4.00	4.00	3.75	3.50
Japan	Gilts 10y	-	4.90	4.80	4.70	4.65	4.50
	BoJ Rate	1.25	1.50	1.75	1.75	1.75	2.00
	JGB 10y	-	2.90	2.95	2.95	3.15	3.25

Exchange Rates		2026		2027			
		Q3	Q4	Q1	Q2	Q3	Q4
USD	EUR / USD	-	1.14	1.14	1.16	-	1.20
	USD / JPY	-	163	163	163	-	163
	GBP / USD	-	1.34	1.36	1.38	-	1.43
EUR	EUR / GBP	-	0.85	0.84	0.84	-	0.84
	EUR / JPY	-	186	186	189	-	198

Brent		2026		2027			
		Q3	Q4	Q1	Q2	Q3	Q4
Quarter Average							
Brent	USD/bbl	87	81	78	79	81	80

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 14/09/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to the uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.4% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these latter appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to start a cycle of three rate hikes (+25bp each) at the September 2026 FOMC meeting, bringing the Fed Funds target range at 4.25% - 4.50% in January 2027.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and household confidence remains low. Fiscal policy measures aimed at supporting economic growth are expected to increase in the second half of the year. CPI inflation rebounded slightly in H1 2026, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth is expected to slow to 1.1% in 2026 (from 1.3% in 2025), before strengthening to 1.5% in 2027, supported by higher defence and infrastructure spending as well as the global AI capex cycle. The economy has proven resilient to the energy shock, notably thanks to the increasingly tangible impact of German defence spending on the real economy. Elevated energy prices in the autumn (especially for natural gas), combined with resilient growth, are set to accelerate inflation to a peak around the turn of the year. Annual average inflation is thus expected to reach 3.0% in 2026 (from 2.1% in 2025), before easing to 2.8% in 2027. Given persistent inflation and resilient growth, we anticipate another 25bp hike from the ECB in December 2026, bringing the deposit rate to 2.75%, followed by an extended pause. That said, stronger than expected second-round effects could lead to more tightening than our current baseline.



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FRANCE

GDP growth remained low in Q2 (0% after -0.2% in Q1) as a result of deteriorated agricultural and construction output, as well as higher inflation (2.4% in 2026 according to our forecast, after 0.9% in 2025). In 2026, GDP growth should reach 0.5% (after 0.9% in 2025), driven mainly by exports.

UNITED KINGDOM

UK GDP growth would ease slightly to 1.2% in 2026 (1.3% in 2025), holding at a similar 1.3% in 2027. The economy has weathered both the energy price shock and domestic political volatility so far. That said, growth is expected to decelerate in the second half of the year, while inflation should remain stubbornly above target (annual average of 3.2% both in 2026 and 2027), driven by energy, food and a build-up of second-round effects. We expect the BoE to deliver a single "insurance" hike in November 2026, bringing the Bank Rate to 4.00%, in response to the ongoing energy shock. We expect the BoE to resume easing in H2 2027, with two cuts taking the Bank Rate to 3.50% by end-2027.

JAPAN

We expect annual GDP growth to stand at 1.0% in 2026, down from 1.2% in 2025. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshoot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.0% so far (previously negative) – the highest since 1995. We expect three hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

We expect Fed hikes to temporarily offset structural headwinds and support the dollar. EUR/USD would target 1.14 by end-2026, before the dollar's structural downtrend resumes toward 1.20 by end-2027, although political and fiscal risk may weigh on the euro next year. The USD/JPY appreciation would continue but at a more moderate pace, with the BoJ still behind the curve despite its hikes. By contrast, GBP/USD would see relative support underpinned by a modest fiscal risk premium under the new Labour government, and resilient growth.



EMERGING ECONOMIES: WHY ARE FINANCING CONDITIONS HOLDING UP WELL AGAINST THE ENERGY SHOCK?

François Faure

Six months have passed since the start of America's and Israel's military intervention in Iran and Lebanon. What picture is emerging around the impact of this external shock on the financing conditions of the major emerging economies and on exchange rate movements? And what parallels can be drawn with the 2022 energy shock?

Emerging economies: greater financial resilience to the shock from the Middle East

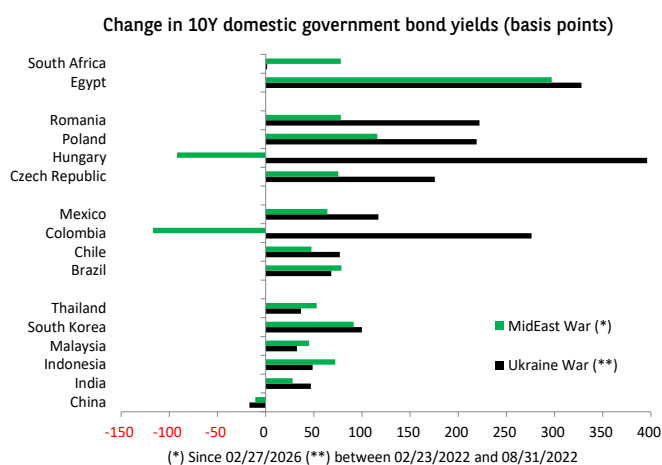


CHART 1

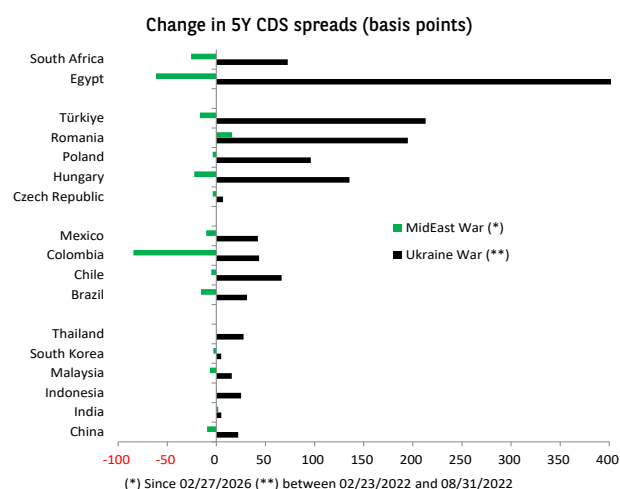


CHART 2

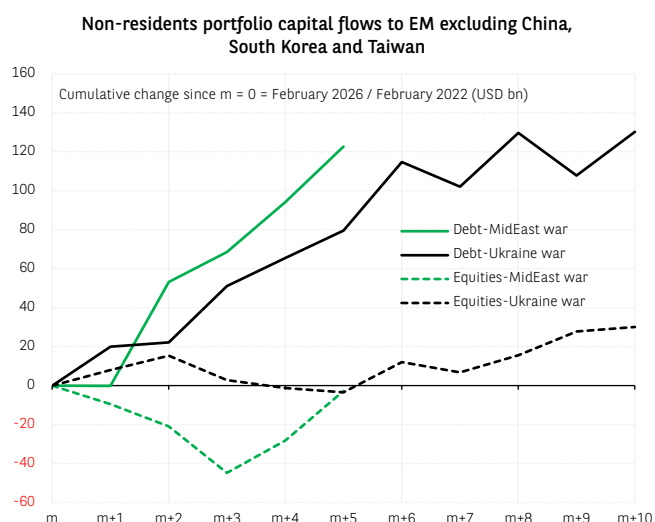


CHART 3

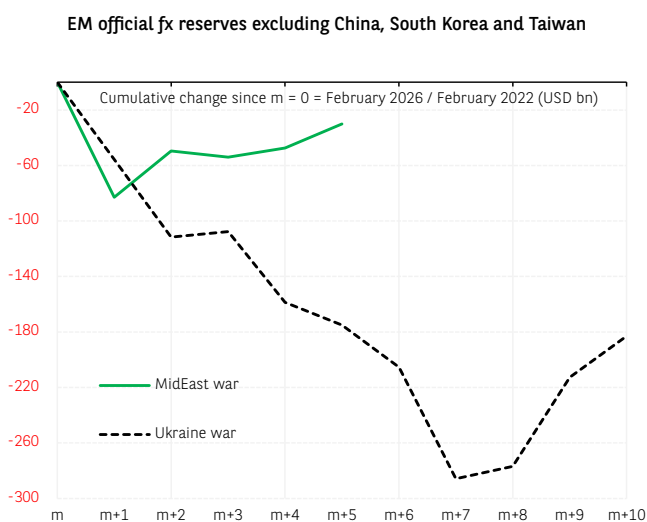


CHART 4

SOURCE: INSTITUTE OF INTERNATIONAL FINANCE, LSEG, MACROBOND

ECONOMIC RESEARCH



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Financing conditions and exchange rates are holding up better in 2026 than in 2022...

As far as the cost of domestic financing in local currency (by far the main source of government funding) goes, bond yields rose less sharply, particularly for Asian countries, with Türkiye standing as the sole exception (Chart 1)¹. The main explanation for this is that in 2022, faced with rapidly surging inflation, almost all central banks had raised their key interest rates. Conversely, since February, few have done so, and some have even continued their easing cycles. However, spreads relative to benchmark yields (US or German) have narrowed for virtually all countries (apart from Türkiye), whereas in 2022, by contrast, these spreads had widened for Central European countries.

This reflects the reaction of the markets, which are just as concerned, if not more so, about the deteriorating public finances in advanced economies as they are about those in emerging economies. In fact, real bond yields² in the Asian countries in the sample are currently approximately the same value as at the end of 2019 (before the succession of external shocks that have occurred since the COVID pandemic and the almost universal rise in public debt ratios). By contrast, real bond yields in advanced economies have gone from negative to positive territory.

In terms of the cost of external foreign-currency financing, measured by benchmark bond yields (the basis) plus risk premiums (measured by CDS spreads), the basis has clearly risen as bond yields in advanced economies have normalised since 2022. However, risk premiums have not widened since the end of February, whereas they had tightened for the vast majority of countries in 2022 (Chart 2). Finally, currencies have depreciated less than in 2022, and most have even appreciated since late spring or early summer last year. Overall, financing conditions have deteriorated less than in 2022.

...thanks, in particular, to support from non-resident investment in local bond markets

According to the Institute of International Finance (IIF) estimates, non-resident portfolio investment in debt securities and equities in emerging markets has held up better this year than in 2022 (Chart 3), if we exclude China from the sample (due to its dominant weight), as well as South Korea and Taiwan, which are by far the most advanced countries in the IIF sample³ and have seen massive outflows of investment from equity markets since March⁴. In this adjusted sample, the increased investment in debt securities was significantly greater than in 2022, while trends in equity investment were broadly similar, in line with the smaller widening of bond yields in local currency and the smaller depreciation of currencies.

For the most advanced Asian countries, trade surpluses have offset outflows of non-resident portfolio investment in equities

A comparison of trends in foreign exchange reserves and trade balances – the only data available on balance of payments items other than non-resident portfolio investment for all countries in the sample over the past 5–6 months – provides further insight. Trends in foreign exchange reserves (Chart 4) appear to confirm the view that exchange rates are holding up better⁵. However, trends in trade balances are the same. Nevertheless, for South Korea and, to a lesser extent, Taiwan, the surging trade surpluses (driven by the AI boom in particular) are behind the appreciation of exchange rates over the summer, despite outflows of portfolio investment up until July⁶.

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¹ Türkiye is a very special case, as developments are shaped not only by external shocks but also by domestic political risk.

² i.e. adjusted for core inflation.

³ The IIF sample does not include Hong Kong or Singapore.

⁴ USD 88bn for South Korea and USD53 bn for Taiwan.

⁵ The link between falling foreign exchange reserves and exchange rate depreciation only holds true under a pure or managed floating exchange rate regime (i.e. with occasional interventions by the central bank); under a fixed exchange rate regime, defending the exchange rate goes hand in hand with a fall in the central bank's foreign exchange reserves. The emerging economies in the sample all operate under pure or managed floating exchange rate regimes.

⁶ Thus, from January to August, South Korea's trade balance showed a cumulative surplus of just over USD 200 bn, compared with a deficit of 25 bn in 2022.



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EDITORIAL

3

INDIA: WHY IS A MIDDLE CLASS STRUGGLING TO EMERGE DESPITE RECORD GROWTH?

Due to robust economic growth, India's contribution to global GDP has increased by 1.8 times over the past twenty years, reaching 8.2% in 2025. However, this achievement conceals a significant issue: India is failing to develop a substantial, consumer-driven middle class. The underlying cause is the predominance of employment in low-value-added and largely informal sectors. The few high-value-added manufacturing sectors with strong job potential such as electrical equipment, electronics, automotive, chemicals and pharmaceuticals, are hindered by an unfavourable business environment, while a skills shortage is obstructing their advancement up the value chain. Furthermore, the highest-paying service jobs, particularly in IT, are threatened by artificial intelligence.

INDIA STRUGGLES TO DEVELOP A MIDDLE CLASS

India has one of the highest growth rates among the world's major economies (+7.3% annually over the past decade, excluding the pandemic), yet its consumer middle class remains surprisingly small. In current dollars, total consumption in India appears very high (USD 2,241 bn in 2025), but this figure is largely a reflection of the country's vast population. By way of comparison, it is 3.5 times lower than that of China, and per capita consumption at purchasing power parity (PPP) is 1.3 times lower than that of Indonesia, the Philippines and Vietnam.

According to our estimates¹, the middle class accounts for only 1.6% of India's population, equating to just 24 million people. This figure is lower than that of Thailand and Vietnam, each with over 30 million, and significantly less than China's middle class, which is estimated at 490 million people, or 35% of the population, using the same methodology. Furthermore, the disparity between urban and rural areas remains particularly pronounced, as urban households consume, on average, 1.6 times more than their rural counterparts. More than 60% of the Indian population consumes less than the national average. Only the top urban deciles, which represent only 5% of the total population, have genuine discretionary spending power. Although consumption patterns have evolved over the last decade, evidenced by a decline in the share of food spending (-4.3 percentage points, now at 34.8% of total spending) in favour of transportation and communications (+3.8 pp, now at 12.4%), purchases of durable goods, which account for only 7% of urban household spending, remain marginal. Furthermore, these purchases are increasingly financed by consumer credit rather than by rising incomes.

THE LABOUR MARKET SUFFERS FROM STRUCTURAL WEAKNESSES

This weakness in the middle class and in household consumption can be explained, in particular, by the structural weaknesses of the labour market. The employment rate, which stood at 52.7% in 2025 according to the International Labor Organization (ILO), is significantly lower than that of its Asian neighbours: 65.6% in Indonesia and 71.3% in Vietnam.

Over the past ten years, employment has experienced only modest growth (an average of +2.4% per year), while GDP growth has averaged nearly 6% per year (including the pandemic). The services sector, which accounts for 33.2% of employment, has been the primary driver of job creation (+3.2% per year), significantly outpacing the manufacturing sector (+1.4%) and agriculture (+0.1%), despite agriculture being the country's largest employer, accounting for 41.5% of the labour force. This trend is insufficient to absorb the 10 to 12 million new entrants to the labour market each year.

Furthermore, the traditional pathway for labour transition from agriculture to industry has become severely restricted. Over the past decade, employment in manufacturing has barely kept pace with growth: the employment elasticity with respect to growth reached only 0.1 for this sector. However, the contrast between the formal and informal sectors is striking: the employment elasticity of the formal manufacturing sector reached 0.7 over the same period. Consequently, the decline in informal employment, which accounts for 73.4% of total manufacturing employment (but only 38% of the sector's value added), has offset this positive trend. Furthermore, in labour-intensive sectors such as textiles, apparel and wood, the increase in value added stems primarily from productivity gains rather than job creation, which significantly limits the availability of low-skilled jobs in the country.

Several structural challenges hinder job creation in the manufacturing sector: an unfavourable business environment (particularly regarding access to land), the high cost of capital for SMEs, a lack of export competitiveness in labour-intensive sectors, which are penalised by less advantageous tariff conditions compared to the rest of Asia, and, above all, labour market rigidity, which obstructs the size of companies and, consequently, job creation (65% of companies have fewer than 50 employees).

INSUFFICIENT JOBS IN BOTH QUANTITY AND QUALITY

Not only is the number of jobs created insufficient, but their quality is also subpar, which adversely affects income growth and the development of a substantial middle class. According to the ILO, 87% of total employment is informal and concentrated in low-value-added, low-skilled roles. Approximately 20% of the population earns 79% of labour income. This concentration reflects the low skill level of existing jobs: 88.2% of Indian workers have jobs that require minimal or no skills. The issue is not a shortage of graduates but rather a mismatch between their education and the actual needs of businesses. This results in a gradual decline mobility among workers and a higher unemployment rate among graduates compared to those without a degree (13.5% versus 1.3% in 2025, according to the ILO).

The lack of skills that align with the demands of the labour market obstructs employment opportunities in the few high-potential manufacturing sectors. According to our econometric estimates, electronics and IT, electrical engineering, automotive, chemicals, and, to a lesser extent, pharmaceuticals exhibit strong growth, high employment elasticity, and high productivity (see chart). They therefore represent potential sources of high-quality jobs. However, these sectors remain largely underdeveloped: in 2025, they accounted for only 1.4% of jobs and 5.9% of India's GDP.

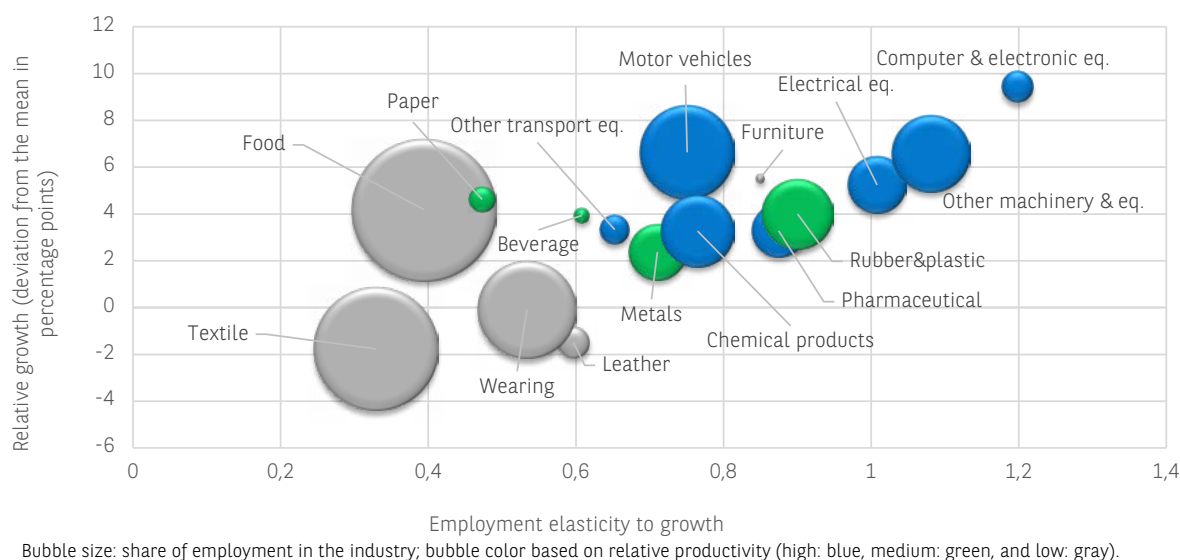
¹ We use the methodology of López-Calva and Ortiz-Juárez (2014), who define the middle class as households with a less than 4% probability of falling back into poverty within four years, and whose daily income ranges from \$17 to \$98 when adjusted for 2021 purchasing power parity (PPP). Due to the lack of reliable income surveys in India, these thresholds are applied to the consumer expenditure data provided by the World Bank. This approach to measuring real purchasing power tends to slightly underestimate the middle class in terms of income, as savings are not taken into account; however, it remains the metric used by the World Bank.



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Chemicals, automotive, pharmaceutical, electrical and electronic sectors show the strongest job-creation potential



CHART

SOURCE: ANNUAL SURVEY OF INDUSTRIES, BNP PARIBAS ESTIMATES

ARTIFICIAL INTELLIGENCE COULD LIMIT THE CREATION OF THE HIGHEST-PAYING JOBS IN THE SERVICE SECTOR

AI may also impede the creation of the highest-paying jobs, which are essential for expanding the middle-class consumer base.

Agriculture, construction, trade and transportation remain largely immune to direct job displacement due to AI. Therefore, the macroeconomic impact of the immediate shock is expected to be minimal. However, these sectors are characterised by the lowest wage levels. Conversely, IT, finance and insurance account for less than 3% of total employment but employ the most highly skilled workers. Ironically, these are the very segments most threatened by automation.

While sector-specific data does not currently indicate a widespread decline, there is a notable deceleration in job creation for routine tasks, as confirmed by a study conducted by the ICRIER (Indian Council for Research on International Economic Relations). Although new job roles are emerging, their number is expected to remain limited, particularly as the skills required surpass the capabilities of the existing graduate pool.

REFORMS ARE HEADING IN THE RIGHT DIRECTION BUT ARE INSUFFICIENT

Since 2019, the Modi government has rolled out a series of measures aimed at developing industry, attracting foreign direct investment, and integrating into global trade after decades of protectionist policies.

Corporate subsidy programs, such as Production-Linked Incentives, have bolstered the growth of the most promising sectors identified earlier. Similarly, the implementation of the labour reform, which came into force in late 2025, could facilitate business expansion and the creation of formal jobs. However, its actual impact will depend on its adoption by the states, which possess significant autonomy over labour law, and on its effective implementation at local level. The free trade agreement signed between India and the European Union in late January 2026 and anticipated to take effect in 2027 at the earliest, aims to

mitigate the tariff disadvantages faced by labour-intensive industries. The EU has pledged to abolish tariffs on Indian textiles and apparel, which currently range from 4% to 12%.

However, these measures alone will not suffice to create high-quality jobs unless the education system aligns with the needs of Indian businesses. It is therefore imperative that India continue to improve its business environment and reform its education system to promote job creation in high-paying, high-value-added sectors. Without concrete measures, the “demographic window”, which is expected to remain favourable for another 15 to 25 years, could close before India succeeds in establishing a solid industrial foundation and a substantial middle class.

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ADVANCED ECONOMIES

EUROZONE

Inflation strength seals ECB rate hike. Headline CPI inflation jumped to 3.3% in August (+0.5 pp m/m) on the back of a surge in energy prices. Industrial goods inflation (ex-energy) is firming, albeit from a low level (1.2% y/y). However, services (3% y/y) and food (1.2% y/y) inflation are softening. That said, non-energy producer prices are picking up. The overall PPI (excluding construction) jumped 1% m/m and rebounded by 5.8% y/y. The core PPI (excluding construction and energy) rose 3.1% y/y, and the 3m/3m annualised rate jumped to 7%, the highest since November 2022, driven by intermediate goods prices (+6.3% y/y). Retail sales slipped by 0.6% m/m in July, pulled down by German data. The unemployment rate held steady at 6.4%, with the Spanish jobless rate falling back to 10% for the first time since 2008.

Upcoming: ECB meeting (Thursday); third GDP estimate for Q2 (Monday).

- France

Mixed news keeps OATs under pressure. The August manufacturing PMI was revised up to 51.1 (vs. flash: 50.7; July: 48.5) but the composite index was driven further down to 48.5 (flash 48.8; July: 49.4) by a lower reading on services (48; flash: 48.4; July: 49.6), where activity has been contracting for 8 consecutive months. More positively, passenger car sales increased in August by 7.5% y/y (+3% YTD), with EVs reaching 38% of the total. Moreover, the fiscal deficit improved slightly in July. Still, the OAT yield edged up driven by Germany (with spread hovering near multi-year highs at 86/87).

Upcoming: Insee GDP forecast update (Friday).

- Germany

Contained inflation acceleration despite solid August activity data. HICP inflation accelerated to 2.9% y/y in August (2.8% in July), below the consensus forecast (3.1%). Core inflation was stable at 2.6%. August PMIs were revised upward from already strong flash prints: Composite: 51.8 (vs. 51.0 flash and 51.3 in July) Manufacturing: 54.3 (vs. 54.1 flash and 52.2 in July), a stronger improvement than expected, with robust growth in new orders driving production to its highest level since early 2022, driven by the intermediate goods sector. Industrial job losses are declining at a slower rate than last month, suggesting that the situation is stabilising after three years of workforce reductions. Services only improved to 49.7 (vs. 48.5 flash and 49.8 in July). Furthermore, new car registrations grew by +2.6% y/y and +4.8% YTD. BEVs (battery electric vehicles) recorded the strongest growth (+75.1%), while gasoline registrations plunged (-37.9%). In July, retail sales unexpectedly fell, while factory orders surged, growing +13% YTD. However, industrial production fell in July for the first time since March 2026 (-1.1% m/m after +0% in June), driven by a sharp decline in manufacturing (-2.3% and the lowest level since May 2020), particularly in automotive production (-8.3% m/m). According to the economic institute IW, FDI into Germany grew by 50% y/y in 2025, driven by a whopping 284% increase in FDI from the UK, which more than offset the 44% decline in FDI from the US.

- Italy

Inflation accelerates as services sector outperforms the rest of Europe. August headline inflation accelerated to 3.2% (2.9% in July) but core edged down to 1.7% (vs. 1.8% in July). The services PMI rose to

55.2 in August from 52.5 in July — the highest reading since April 2023 and a third consecutive month of expansion. New business rose to 55.6. The composite PMI climbed to 53.6 from 52.5. Manufacturing PMI was weaker: 49.6 (-1.7 m/m; lowest since January 2026). Weak domestic demand has led to a fall in new orders to their lowest level since March 2025. Nevertheless, businesses remain confident about the future and are stepping up recruitment (+1.7 m/m; highest level since April). On the price front, both input and final output prices are falling.

- Spain

Strong inflation surprise and services activity. Headline CPI inflation accelerated to 4.5% in August (3.9% in July), while core slowed to a still robust 3.5% (3.7% in July). PMIs showed activity expanding at a slower pace overall (composite at 55.8, -0.8 m/m), with services remaining strong (at 57.8, -0.5 m/m) and manufacturing falling into contraction (to 49.5, -0.7 m/m and its lowest level since March 2026).

UNITED STATES

Bullish data increase odds of Fed September hike. August payrolls blew past all estimates with 162,000 jobs added in August. The unemployment rate held steady at 4.1%. June and July's weak job creations were revised up by 55,000. Average hourly earnings rose 0.3% month-on-month, in line with estimates. President Trump reacted to the "great jobs number" by explicitly calling the "Fed Board, with its great new leader" to lower the policy rate. Meanwhile, ISM surveys held firmly in expansion territory in August. The manufacturing index eased to 54.6 (down 1.0pp) but has expanded in every month of 2026 so far after contracting in 36 months out of 38; non-manufacturing improved to 55.4 (up 1.3pp). Supply pressures, however, remained acute (measured by prices-paid gauges and supplier delivery times). The US trade deficit widened 24.4% to \$88.6 billion in July — the largest since early 2025 — driven by an 11.4% surge in capital goods imports (computers and semiconductors). Exports fell 2.1%. Based on Fed chair Warsh's hawkish framing in Jackson Hole and other more dovish FOMC members' comments since, markets are now pricing a 60% probability of hike. Next week's CPI print will be key.

Trust issues? Neither institution framed it as such, but this week saw a decision by the Dutch Central bank to remove a chunk of its gold holdings from New York (following a similar move by the Bank of France completed in March), while Norway's sovereign wealth fund offered the government to reduce by 12% the weight of US Treasuries in its asset allocation (in favor of other US fixed income assets). If approved, this would lead to a \$80 bn reduction in its holdings of Treasuries.

Upcoming: August PPI and Existing Home Sales (Thursday); August CPI Inflation (Friday).

JAPAN

Hawkish BOJ, a firmer yen, and higher JGB yields. Increasingly pressured by high inflation, weakening FX and, as of this week, the US Secretary of the Treasury, the Bank of Japan multiplied signals that it was set to accelerate the pace of normalisation, with a September hike being now the base case. The yen had its best week since July, appreciating sharply to USDJPY 156, from above 160 a week earlier. This move reflects reports about a possible further intervention and growing confidence about an imminent BoJ rate hike. The 10-year JGB yield rose above 3% on a combination of external (global bond



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sell-off) and domestic (prospect of an expansionary FY2027 budget implying additional issuance) factors, before retreating somewhat.

EMERGING ECONOMIES

EMERGING EUROPE, MIDDLE EAST & AFRICA

- Central Europe

Continued expansion in manufacturing, Poland excepted. August PMIs improved in Czech Rep. and Romania. In Hungary, the index was little changed (51.3). Poland remains the outlier with continuous contraction since May 2025, in stark contrast to its growth outperformance in the region.

- Türkiye

A welcome growth rebalancing. In Q2, real GDP growth accelerated to 1.1% q/q thanks to a strong contribution of net exports (+1.6% q/q). Private consumption contracted by 1.3% q/q in line with credit softening, and investment in machinery & equipment rebounded (+2.4%). In year-on-year terms, GDP growth slowed from 2.6% to 2.3%. This growth rebalancing is welcome both for external accounts and price stability (in August, CPI inflation was +1.8% m/m and 31.5% y/y). *Upcoming: interest rate decision (Thursday).*

- Gulf countries

Non-oil activity continues to recover. The UAE and Kuwait saw the strongest increase in August. The UAE's PMI reached 55.3, its highest level since December 2024 while Kuwait's PMI remained above 50 for the second month in a row (53.6 in August). Saudi Arabia's PMI also rose to a six-month high of 53.8, although activity remains below its long-run trend. By contrast, Qatar continues to suffer; its PMI declined from 48.5 to 47.6.

- Senegal

Debt restructuring and preliminary agreement with the IMF reached. The IMF will provide USD 2.2 bn of financial support over three years, conditional on strong fiscal consolidation measures.

ASIA

- China

Isolated at the G20 as services activity rebounds and the yuan firms to a multi-year high. The US accused China of scuppering consensus at the (US-hosted) Finance Ministers and Central Bank Governors G20 meeting by refusing to sign up to eliminate non-market policies and practices that exacerbate imbalances, as well as objecting to language about the smooth functioning of global supply chains for critical inputs (China blamed the US in return). China's services PMI published by RatingDog rose to 51.4 in August from 50.4 in July, above expectations, contrasting with signs of weak domestic demand across the broader economy. USD/CNH dipped to 6.7095, its lowest level since early 2023. In the first seven months of 2026, the volume of housing sales contracted by 13% y/y (after -10% in 2025). New measures to reduce the risk of unfinished building projects and improve confidence in the residential property market were unveiled by the authorities.

Upcoming: August inflation (Wed).

- India

Upside growth surprise but recent weakening in momentum. Real GDP grew by 7.8% y/y in Q1 FY2027, with services accounting for around 66% of real GVA growth, while a marked pickup in bank credit supported resilient household consumption and a sharp acceleration in investment. Exports also provided a significant boost (+12% y/y), led by a 24% increase in machinery and electrical equipment export volume, reflecting India's growing role in global electronic equipment and smartphones supply chains. Yet, momentum in manufacturing activity weakened in August, with the PMI falling to 52.8 from 53.5 in July, its lowest level in five years.

- Southeast Asia

Manufacturing remains resilient, driven by electronics/AI-related external demand, despite a slight loss of momentum. The ASEAN manufacturing PMI eased to 52.3 in August from 52.8 in July, supported by sustained growth in output and new orders. The Philippines outperformed with its PMI surging to 54.9 from 51.8, the strongest reading since December 2016. Vietnam's PMI also rose to 53.3, its highest level since February. Thailand's PMI remained one of the region's strongest in August (53.8). Malaysia's expansion weakened (the PMI declined to 50.2) while Indonesia lagged with the PMI slipping back below 50 to 49.8.

- South Korea & Taiwan

IA-driven windfall increases fiscal policy leeway. In South Korea, 2027 fiscal revenue is expected to rise by 30%, supported by semiconductor-driven tax receipts; the government's budget prioritises long-term growth, addresses economic polarisation, and aims to strengthen fiscal sustainability. In Taiwan, the boom in exports of AI goods has also led to a strong rise in fiscal revenue, which translates in narrower fiscal deficits and greater spending. The government recently proposed a 18% increase in defence spending in the 2027 budget as well as a 40% in social welfare spending. In both Taiwan and South Korea, the manufacturing PMI declined slightly in August but remained largely above 50.

LATIN AMERICA

- Brazil

Growth slowdown. Real GDP increased by 2.0% y/y in Q2 2026, but growth slowed sharply on a q/q basis to 0.5% in Q2 from 1.1% in Q1. Private consumption was weak (-0.4% q/q in Q2) while agriculture and external demand provided some support. The manufacturing PMI weakened meaningfully in the summer (to 47.5 in July and 46.3 in August), and the short-term growth outlook is sluggish.

- Chile

Weaker copper output adds to concerns over tightening global supply. July marked another weak month (-9.4% y/y), with production down by close to 7% in the first seven months of the year.

COMMODITIES

New highs for energy prices across the board. Brent prices rose by 7.2% over the week to 97\$/b, the highest level since end-July. US SPR continue to decline at a fast pace (-3.1 mb w/w for the week ending 28th August). **Diesel crack spreads** reached new highs this week both in Europe (84 \$/b) and in the US (> 100\$/b). **LNG** prices hit new highs since 2023 in Europe (TTF reached 75 €/MWh during the week before declining to 74 €/MWh) and in Asia (24 USD/mbtu for JKM).



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Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those of the war in Ukraine and the subsequent energy shock?

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard features charts and comments that will be updated on a monthly basis for as long as necessary.

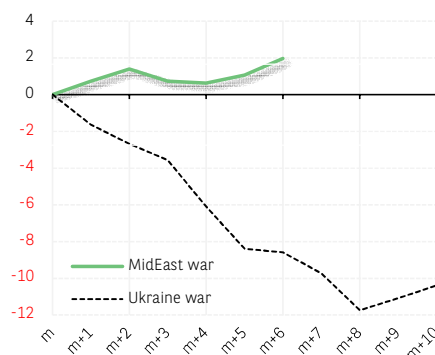
Overall, based on data available through August 2026, the inflationary impact and the negative effect on activity of the current energy shock remain significantly lower than the 2022 shock. Due to renewed tensions in the conflict in Iran and, consequently, on hydrocarbon prices, inflation is moving up again, but still in a limited way for now and driven solely by energy prices. Overall, confidence surveys do not show any signs of these negative trends.

In the euro area, the continued improvement in the business climate in the manufacturing sector and in consumer confidence is noteworthy. In the United States, economic activity continues to shrug off the energy shock. Emerging economies also continue to show resilience, particularly in terms of financing conditions. In the gas and oil markets, the balance is precarious and is keeping prices at a high level.

The positive signs in the Eurozone

August 2026: Business confidence in the manufacturing sector remains well-oriented

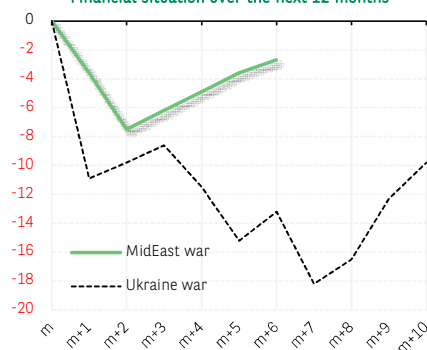
Eurozone: Manufacturing PMI



Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

August 2026: Consumer confidence continues to improve

Eurozone: Consumer confidence
Financial situation over the next 12 months



Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

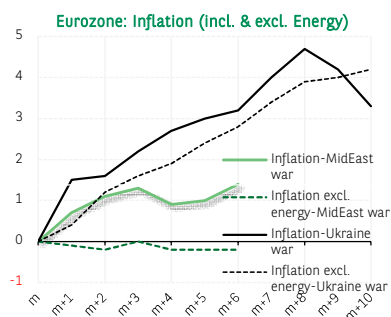


Eurozone: Inflation rises further, driven by energy prices but inflationary pressures are easing further; and confidence surveys continue to improve

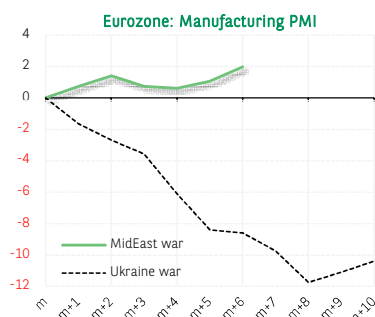
We have selected two inflation measures (with and without energy) and six survey indicators: 1/ business confidence, as measured by the PMIs in the manufacturing and 2/ services sectors; 3/ the "input prices" and 4/ "output prices" components of the composite PMI (in order to identify direct inflationary pressures); 5/ the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); 6/ household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month $m=0$, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month $m=0$.

The overall picture from the data available for August is positive in terms of confidence surveys and reinforces the encouraging signs seen in previous months. According to PMI surveys, inflationary pressures continue to ease, while supply-side tensions have stabilised. Business sentiment in the services sector remains stable, anchoring its previous gains, while confidence in the manufacturing sector shows a further—and marked—improvement. Another notable and encouraging development is the recovery in consumer confidence for the fourth consecutive month. The feared relapse in these various indicators, due to renewed tensions in the Middle East, did not materialize—at least not in August. As for inflation, it continues to rise (+0.4 percentage points, to 3.3% year-over-year), as expected, driven by energy prices, but the increase remains limited in that it has not spread to non-energy inflation, which remains stable at 2.2%.

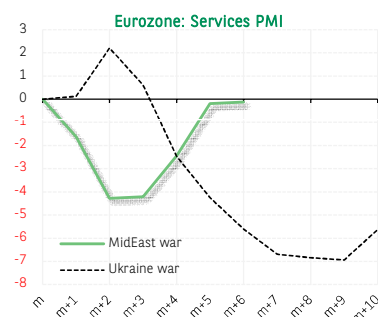
August 2026: Limited rise in inflation, driven by energy prices (bis)



August 2026: Business confidence in the manufacturing sector remains well-oriented

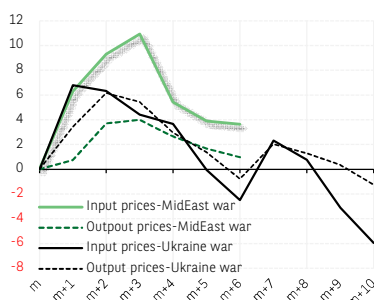


August 2026: Business confidence in the services sector anchors its improvement



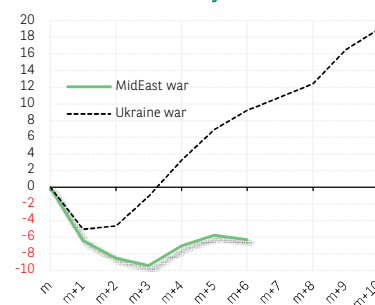
August 2026: Price pressures continue to abate

Eurozone: Composite PMI — Input and output prices



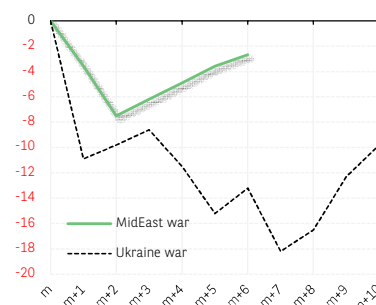
August 2026: Supply-side tensions are stabilising

Eurozone: Manufacturing PMI — Suppliers' delivery times



August 2026: Consumer confidence continues to improve

Eurozone: Consumer confidence Financial situation over the next 12 months



Change since $m=0$ = February 2026 / February 2022.

Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas



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United States: Activity shrugs off the energy shock

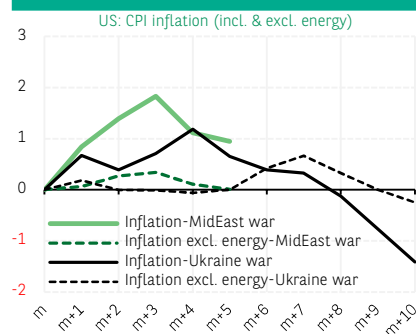
The US economy has held up well since the shock began. Consumption and business investment grew at a 4.1% annualized pace in Q2. At the same time, the scope for energy-driven disinflation has narrowed: WTI (the US reference) has averaged USD 82/bbl since 8 July, ranging between USD 72-92.

CPI rose 0.1% m/m in July, reversing June's -0.4% drop. The year-on-year rate eased to 3.4% (down 0.1pp) but remained 1.0pp higher than in February – the last pre-war reading. Energy accounts for the entire gap: its contribution to the annual rate was negligible in February and stood at 1.0pp in July. Inflation excluding energy reached 2.55% y/y in July (down 0.1pp), unchanged from February. Macroeconomic conditions remain far less inflationary than in 2022, although small businesses have raised their pricing intentions.

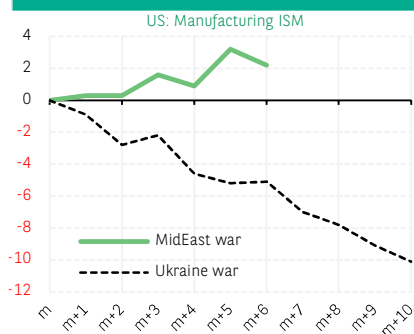
Business sentiment strengthened despite the shock. The ISM manufacturing index has remained in growth territory without interruption since January 2026, following 36 months of contraction out of 38. Input prices – a leading indicator of inflation – and delivery times have tightened further, as the Middle East situation compounds existing pressures from steel and aluminum prices, tariffs, and input availability.

Household confidence remains deeply depressed – a long-standing trend – and sensitivity to gasoline prices rules out any improvement in the near-term. Real consumer spending, however, has never contracted monthly since the onset of the conflict.

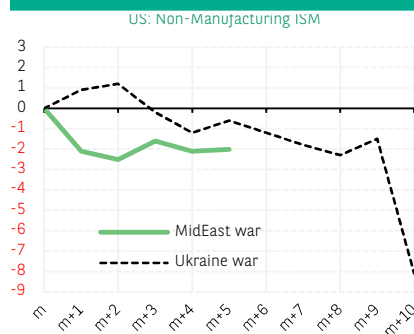
July 2026: Inflation excluding energy back at its pre-war level



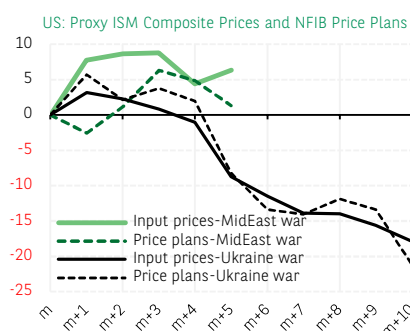
August 2026: Manufacturing activity firmly anchored in expansion territory



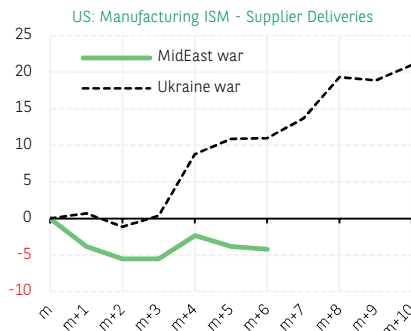
July 2026: Business sentiment holds up in services



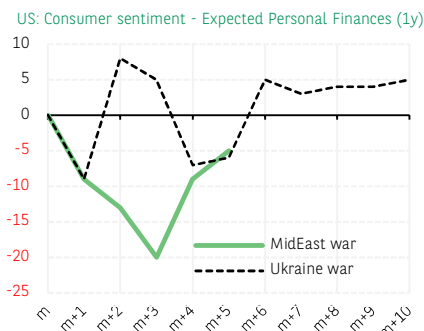
July 2026: Persistent pressure on input prices



August 2026: Supplier delivery times lengthen again



July 2026: Concerns over household finances ease again



Change since m = 0 = February 2026 / February 2022.
Unit: Inflation change in percentage point, point for confidence surveys.

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas



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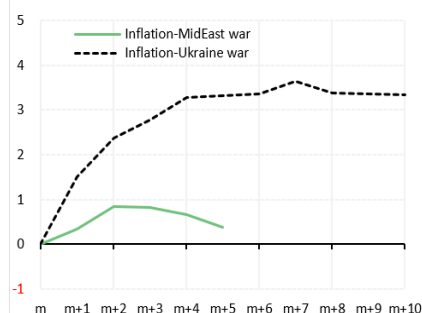
Emerging economies: Good resilience, especially regarding financing conditions

Inflation eased in June and July. The average CPI inflation rate across the fifteen leading emerging economies fell to 4.3% year-on-year in July, down from 4.8% in April. The inflationary impact remains weaker than in 2022, due in particular to reduced spillover effects on agricultural and food prices. Manufacturers' views on the trend in input and finished product prices have returned to their pre-conflict levels. However, against a backdrop of increasingly frequent and destructive extreme weather events, pressure on agricultural and food prices is likely to continue.

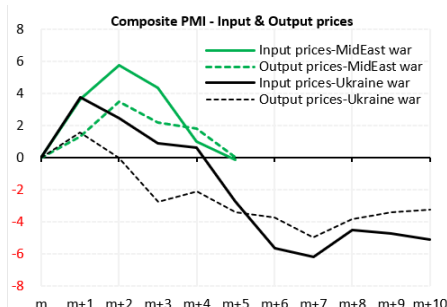
Furthermore, the manufacturing PMI index deteriorated slightly in July and remains below its February 2026 level. The decline in activity was less severe than in 2022, but the recovery is sluggish.

According to estimates by the Institute for International Finance (IIF), non-resident portfolio investment flows into emerging markets have been particularly volatile since the start of the armed conflict, reflecting investor nervousness. Looking at cumulative figures since February provides a clearer picture of the trends. In the equity markets, outflows persisted until July. By contrast, investors have returned to the local bond markets (an average of USD 30 billion per month since April). Domestic interest rates and risk premiums have performed very well.

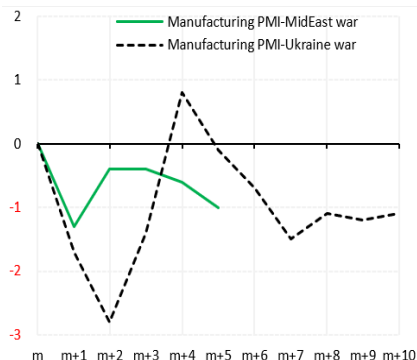
July 2026: A slowdown for consumer price inflation ...



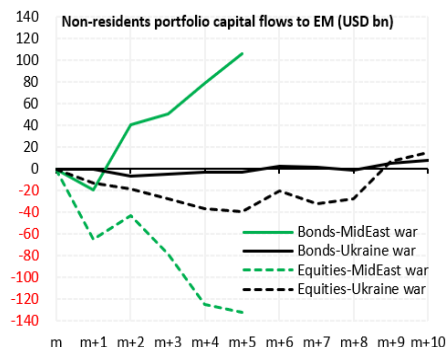
July 2026: and upstream prices



July 2026: A painful recovery in economic activity



July 2026: A rapid and massive return of foreign investors to the bond markets



Change since m = 0 = February 2026 / February 2022.

Unit: inflation change in percentage point, point for confidence surveys.

Cumulative change since m = 0 = February 2026 / February 2022

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas



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Oil & gas: A fragile market equilibrium maintains elevated price levels

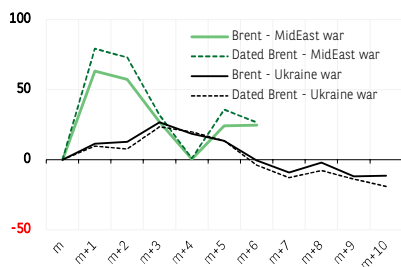
Oil and gas markets remain volatile and followed different trajectories during August. The gas market does not benefit from the buffers in place in the crude oil market. Oil prices have stabilised at a high level, widening the gap compared to the 2022 crisis. While the increase in gas prices remains lower than that seen following Russia's invasion of Ukraine, the pace of the price increase is high.

Oil: Brent oil prices stabilised at a high level during August, in the absence of further military escalation and supported by increased flows passing through the Strait (bypass pipelines and trade shuttle (tanker convoy escorted by US navy)). The spread between the Brent futures price and the physical price (Dated Brent) has remained narrow since early June, driven by the use of bypass, the accelerated drawdown on OECD inventories (notably US SPRs), and declining Chinese oil imports.

Gas: European spot gas prices (TTF) have risen significantly over the past month for two main reasons: 1/ the lack of recovery in LNG flows exiting the Gulf (unlike crude oil), and 2/ increased competition in the LNG market between Europe, which is replenishing its pre-winter stocks, and Asia, where demand remains high during the summer months.

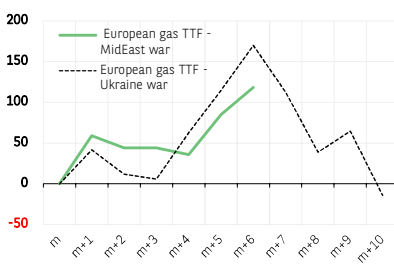
Electricity: The rise in European wholesale electricity prices accelerated during the summer due to successive heatwaves. These heatwaves increased electricity demand and, furthermore, nuclear power production was constrained by heatwaves and drought conditions in certain Central European countries and in France to a lesser extent. In this context, the reliance on more expensive resources (gas) is driving electricity prices upward.

August 2026: Crude oil prices stabilize at a high level



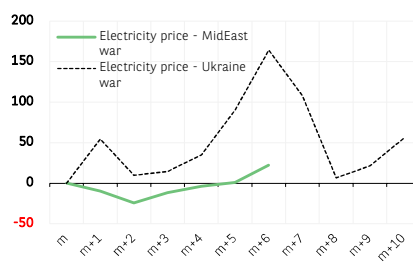
Note: change % since 02/27/2026 - 02/23/2022; last price 08/31/2026

August 2026: Persisting tensions on the European gas market



Note: change % since 02/27/2026 - 02/23/2022; last price 08/31/2026

August 2026: Heatwaves fuel wholesale electricity prices inflation in Europe



Note: change % since 02/2026 - 02/2022; last price 08/31/2026

Source: Bloomberg, Ember, BNP Paribas



GDP growth is stronger than thought

Stéphane Colliac

Statistical agencies often revise growth figures a posteriori, and generally upwards. But this takes time, as their data often become more comprehensive and accurate after two years. France is seeing the largest upward revisions over this timeframe, and, generally, these revisions are more pronounced in Europe than in the United States.

Our study focuses on 2023 and 2024, two years for which statistical agencies have more information (growth figures have already, in most cases, been revised), and the figures are compared to pre-COVID levels (an average of 2017–2019). The COVID-19 period, which was inherently disruptive, is excluded from the study.

Repeated shocks delay the positive diagnosis

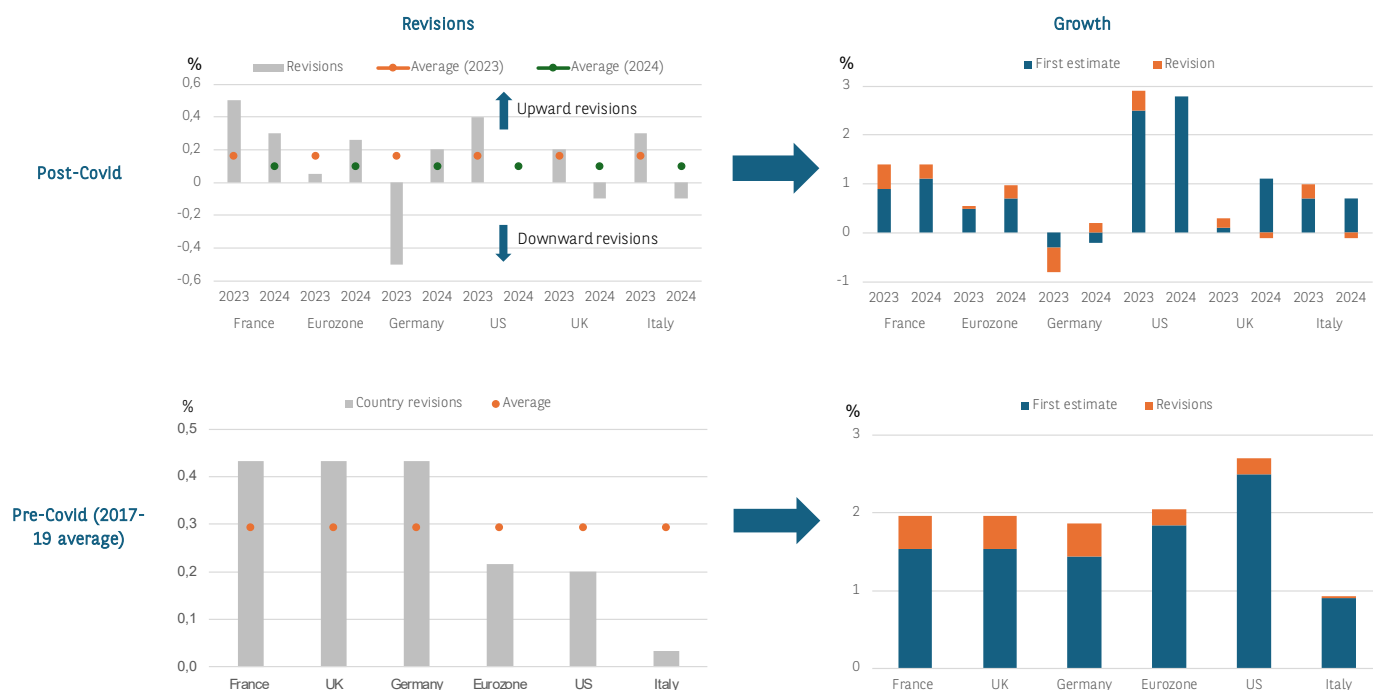
There have been many shocks in recent years — some of them significant — which have made estimating national accounts a complicated task for statistical agencies. The downward revision of French growth figures for the first and second quarters of 2026 (from -0.1% to -0.2% QoQ and from 0.2% to 0% QoQ, respectively) is a recent example. Why? Primarily because one of the most severe droughts in history had a greater impact on agricultural production than initially estimated. This impact was hard to gauge when the first estimate was released.

The most significant revisions occur much later and are often upward revisions

Growth figures can be revised several years later. By then, the data are more comprehensive. Also, it is easier to distinguish long-term trends from cyclical shocks. Therefore, growth can finally surprise on the upside, particularly due to the role played by innovation, which improves the quality of goods and services and/or lowers their prices.

However, the distinction between volume and price is central to GDP statistics. Most of the data which provide the basis for these statistics come from value-based series, such as turnover figures. In order to publish volume-growth figures, statistical agencies must choose a base year — *i.e.* the estimated price level during that year — and then calculate the change between that base year and subsequent years. This chained-index methodology is used to calculate volume series at constant prices.

Growth figures are usually revised upward: more in Europe than in the US, particularly in France



SOURCE: NATIONAL STATISTICAL INSTITUTES, BNP PARIBAS

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But innovation, which improves the quality of goods and services, means that the price for a given quality decreases. By how much, exactly? Statistical agencies face difficulties when trying to take it into account, until they have more information. This is why their estimates become more accurate over time — often two years later — when the available data are more comprehensive. This usually leads them to revise GDP growth upwards, as shown in our chart, though the size of these revisions varies by country and period.

France enjoys the strongest upward revisions

The size of the revisions is, on average, more moderate for the years 2023–24 than it was before the COVID-19 pandemic. However, it is still significant for some countries. This is the case for France, which ranks first irrespective of the period. We see this result as another positive sign of the ongoing transformation of the French economy, which is also reflected in the increase in business creations ([see our analysis](#)). For example, in 2023, growth reached 1.4% after revision, an upward revision of 0.5 percentage points.

Apart from 2023 — which was an exceptional year when Germany was hit harder by the energy crisis than any other country — these positive revisions are more pronounced in Europe than in the United States. This is not closing the growth gap between the two regions, but it is narrowing it somewhat. The development of innovations and their contribution to growth may thus be harder to capture, especially in the short term, but they have a positive impact.

Growth figures reflect, in particular, long-term trends: structural GDP growth, or so-called “potential” growth. Our analysis shows that, as soon as statistical agencies are able to estimate it more accurately, growth figures come out higher.

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